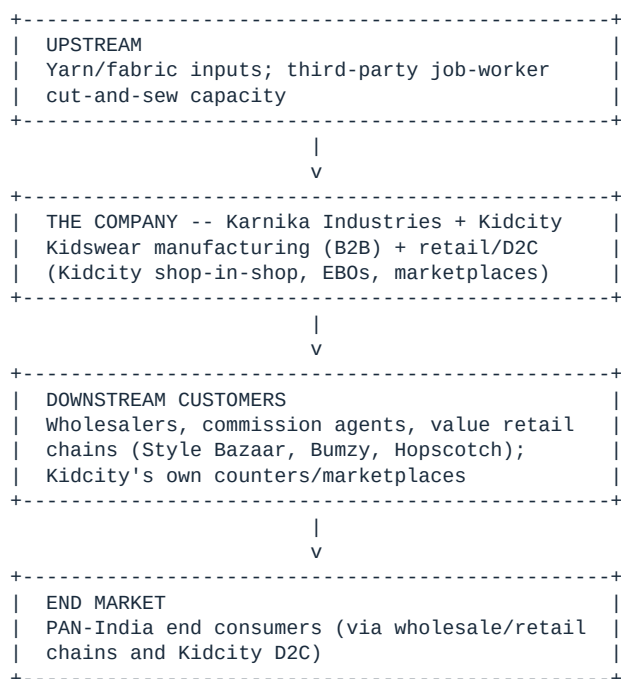


Karnika Industries Ltd

Karnika Industries Limited (NSE SME: KARNIKA), incorporated in 2017 and based in Howrah, West Bengal, is an ISO 14001:2015 certified manufacturer, trader, and exporter of children's readymade garments — tops, dresses, denims, leggings, skirts, and ponchos for infants through age 14 — sold B2B across 28 states through 150+ distribution partners and 2,500 clients. The company acquired a strategic stake in Kidcity, a kids' retail and D2C brand, during FY26 to expand beyond manufacturing into shop-in-shop retail and omnichannel e-commerce. Karnika delivered FY26 consolidated revenue of INR248 crore and carries a market capitalization of roughly INR742-786 crore.

Value Chain Positioning

Karnika is a B2B garment manufacturer/job-worker, not a brand-facing retailer, on the Karnika side of the business: it buys yarn/fabric (management says availability is not a bottleneck — "Yarn is available. You can get it as much as you want") and outsources part of the cut-and-sew process to job workers rather than manufacturing 100% in-house, then sells finished kidswear to wholesalers, commission agents, and large-format value retail chains (Style Bazaar, Bumzy, Hopscotch), who in turn distribute PAN-India to end consumers. With the FY26 Kidcity stake acquisition, the group now also owns a downstream D2C/retail layer directly — Kidcity operates its own shop-in-shop counters, EBOs, and marketplace listings (FirstCry, Ajio, Flipkart, Amazon, its own site) — so Karnika now spans from mid-chain manufacturing (its original position) to front-end retail/D2C (via Kidcity), rather than remaining a pure upstream supplier.



Near Term (Next 1 to 2 Quarters)

- **Working Capital Cycle Cut Further** [On Track]: Management has already reduced the working capital cycle from 4.5-5 months to about 4 months and is targeting a further ~100-day reduction in the current financial year — the first leg of this reduction is already realized, not just promised. "Last year our cycle is around four and half to five months. Current financial year we have reduced it to around four months and we are planning to reduce it by around 100 days in the coming financial year."
- **Kiosk and EBO Payback Periods** [Pending]: New Kidcity kiosks are expected to pay back in 8-9 months and exclusive brand outlets (EBOs) in 15-18 months, the near-term unit economics underpinning the retail rollout. First

disclosure of these specific paybacks; no store cohort has yet completed a full payback cycle to confirm them. "Kiosk, as I told, it will be around eight to nine months. EBOs will be around 15 to 18 months."

- **Cotton Cost Pressure Easing** [On Track]: The elevated cotton-price pressure that weighed on Q4 FY26 margins has largely normalized entering the new financial year, per management — an already-observed improvement, not a forward promise. "It was there in quarter four, but now it's quite normalized."

Medium Term (6 to 12 Months)

- **Kidcity Revenue to Roughly Triple** [Pending]: Management projects Kidcity's standalone revenue to roughly 3x in FY27 from the ~INR24-25 crore it delivered in FY26, against an original FY26 guide of INR30 crore. Worth flagging: this is a fresh FY27 target from a business unit that missed its own FY26 target by ~18% (see Promoter/Governance below) — the higher multiple asked of FY27 makes this more demanding to hit, not less. "I think it would be, we project around 3x revenue from the Kidcity for next financial year."
- **Karnika Standalone Growth Guidance** [Pending]: Karnika's standalone business is guided to grow 25-30% in the near-to-medium term, self-funded from internal earnings, while Kidcity's separate expansion needs are being funded via the promoter-backed warrant raise. First disclosure of this specific range. "In Karnika standalone, it will be around 25% to 30%, but Kidcity will show a major growth pattern. This will increase way more than that."
- **Consolidated Margins to Normalize** [Pending]: Management expects consolidated PAT margins to settle in an 11-13% band over the next two to three years as Kidcity integration and transitional costs fade. First disclosure of this specific range. "Normalized margins would be around, if I consolidate the balance sheet, that will be in a range of around 11% to 13%."

Long Term (1+ Years)

- **FY28 Combined Revenue Target** [On Track]: Management has guided to a combined Karnika + Kidcity revenue target of roughly INR425 crore by FY28, versus INR248 crore delivered in FY26 — consistent with the 30-35% CAGR framing management has reiterated on the subsequent call. "For '28, we are targeting for 42,500 lakhs."
- **Kidcity Scaling to INR200-250cr** [On Track]: By FY28-29, management expects Kidcity alone to reach INR200-250 crore in revenue as its shop-in-shop and EBO network scales into high-street malls and airports — a target raised from the INR120 crore (Rs12,000 lakh) by FY28 originally guided at the H1 FY26 call, even though Kidcity's own FY26 delivery fell short of plan. "If I go by the financial year '28 or '29, it will be definitely around INR200 crores to INR250 crores revenue from the Kidcity." — vs. the original "Kidcity's financial outlook for the next three years shows revenue growth from Rs. 3,000 lakhs in FY'26 to Rs. 12,000 lakhs by FY28" (H1 FY26 concall, Nov 2025)
- **30-35% Multi-Year CAGR Target** [On Track]: Management is guiding to a 30-35% consolidated revenue CAGR over the next three to four years, positioning Kidcity's integrated shop-in-shop format in tier 2/3 malls as a category no organized peer currently occupies — a figure consistent with, and reiterating, the FY28 combined target above. "We are making CAGR of around 30% to 35% in the next three to four years."

Marquee & Niche Customers

- **Style Bazaar, Bumzy, Hopscotch**: Named large-format/value retail chains from which Karnika secured fresh orders during H1 FY26. "Like we have secured order from Style Bazaar, Bumzy, Hopscotch. These all orders we have taken from them in H1." (H1 FY26 concall, Nov 2025)
- **Landmark Group and Lulu (Middle East, targeted, not yet confirmed live)**: Management named these as specific large Middle East retail chains it is pursuing as it shifts from wholesaler-only to direct value-retail-chain relationships in the region — a pipeline item, not a confirmed existing customer. "Like Landmark Group and Lulu. These are the quite big supply chains in Middle East countries. So, we are targeting for those supply chains also." (H1 FY26 concall, Nov 2025)

- **HopScotch:** Described by Kidcity co-founder Jay Varma as "India's second largest marketplace for kidswear", alongside live listings on FirstCry, Ajio, Flipkart, Amazon, and Kidcity's own D2C site — the omnichannel backbone of the Kidcity growth story. "predominantly available on HopScotch, which is India's second largest marketplace for kidswear." (H1 FY26 concall, Nov 2025)

Customer concentration: management stated no single customer relationship carries a materially different margin ("We all have the same customer margin. Not more than 19%-20%" — H1 FY26 concall), and separately that Karnika runs roughly 100 repeat B2B customers with only ~10% new-customer addition per year and 90%+ revenue from long-standing repeat clients. On the May 2026 call, management added that the top 10 commission-agent relationships (through which PAN-India end-customers are billed) contribute 60-65% of that clientele's revenue — see Key Risks for the concentration angle on this.

Customer's own guidance, independently checked: Hopscotch has itself publicly disclosed an ambition to scale 10x in 5 years with double-digit EBITDA, on ~USD71 million raised to date, and specifically flagged 2026 store expansion into East India — Kolkata, Visakhapatnam, and Patna — the same Kolkata-centric market Karnika itself calls its home base. This is independent, third-party corroboration of demand for the marketplace relationship described above. No independently disclosed guidance or expansion plans were found for Style Bazaar or Bumzy in the sources reviewed (both appear to be smaller/private retail chains with no public disclosures). Landmark Group and Lulu are not yet confirmed customers (see above), so a guidance check was not performed for them.

Capex, Milestones & Certifications Timeline

Date/Horizon	Milestone	Status	Amount	Source
—	ISO 14001:2015 certified manufacturer (environmental management)	Achieved	—	Company profile
1 Nov 2025	Kidcity D2C website (kidcity.shop) launched	Achieved	—	H1 FY26 concall
By end of FY26	Target of 75+ Kidcity retail counters	Achieved/on-track (FY26 now closed)	—	H1 FY26 concall
H1 FY26	Rented additional manufacturing space (existing in-house space fully occupied)	Achieved	Not disclosed	H1 FY26 concall
18 Jun 2026	Rs. 48cr promoter warrant preferential allotment — proceeds partly earmarked for capacity/working capital per management	Achieved (allotment); conversion pending	INR48cr	See Promoter Fund Raises above
Next 2-3 years	Karnika standalone revenue target of >INR300cr, requiring further leased/owned manufacturing space beyond what's already been added	Planned	Not yet sized	H1 FY26 concall: "If I want to reach Rs. 300 crores, I need more space. So, I will go to the market."
FY27	Kidcity revenue to ~3x from FY26's ~INR24-25cr	Planned	—	Q4 FY26 concall (already in Medium Term above)
FY28-29	Kidcity scaling to INR200-250cr revenue via high-street mall/airport EBO expansion	Planned	—	Q4 FY26 concall (already in Long Term above)

No aerospace-type or export-market-specific certification (e.g. USFDA, AS9100) was disclosed in the sources reviewed — ISO 14001:2015 is the only certification found on record.

Financial Performance Summary

Last 6 fiscal years (screener.in; FY26 shown both standalone, i.e. Karnika only, and consolidated with Kidcity from its part-year acquisition):

FY	Revenue (INR cr)	YoY Growth	OPM/EBITDA Margin*	PBT (INR cr)	PAT (INR cr)	PAT Margin
FY21	47	—	4%	1	1	2.1%
FY22	98	+108.5%	10%	7	5	5.1%
FY23	124	+26.5%	12%	11	8	6.5%
FY24	126	+1.6%	14%	14	10	7.9%
FY25	171	+35.7%	15%	24	18	10.5%
FY26 (standalone)	224	+31.0%	16%	37	27	12.1%
FY26 (consolidated, incl. part-year Kidcity)	248	+45.0%†	15%‡	39	28	11.3%

*screener.in discloses Operating Profit Margin (OPM), not a separate gross-margin line — shown as OPM/EBITDA margin, not gross margin. †YoY growth for the consolidated FY26 figure is versus FY25's standalone base (171cr), since Kidcity wasn't yet part of the group in FY25. ‡Management's own concall figure (15% EBITDA margin, INR37cr EBITDA on INR248cr revenue) — consistent with the standalone OPM trend continuing, with the point-in-time gap between the two FY26 lines being Kidcity's incremental (roughly breakeven-to-small-loss) part-year contribution.

Five-year revenue CAGR (FY21-FY26 standalone) is roughly 37%, with PAT margin more than quintupling from 2.1% to 12.1% over the same period — a genuine structural margin improvement, not just topline scale, consistent with management's own commentary on operational efficiency gains (in-house garmenting mix shift, centralized head-office functions) covered in the outlook sections above.

Segment-wise Performance

Karnika does not report formal Ind AS 108 business segments in the sources reviewed, but the Karnika-standalone vs. Kidcity-consolidated split already used elsewhere in this report is the closest available breakdown:

Segment	FY26 Revenue (INR cr)	% of Consolidated	Notes
Karnika (manufacturing/B2B garments)	~224	~90%	Standalone FY26; +31.0% YoY
Kidcity (retail/D2C, part-year)	~24.5	~10%	Consolidated only from its FY26 acquisition quarter; missed its own INR30cr FY26 guide by ~18% (see Promoter/Governance)
Consolidated	248	100%	

No further product-line (e.g. infants vs. boys vs. girls wear) or geography (domestic vs. export) revenue split was disclosed beyond the ~5% export-of-sales figure already used in Key Risks/Industry Tailwinds.

Manufacturing Locations & Physical Assets

Location	Status	What it houses	Source
6 Gurgola Ghat Road, Bandaghat, Howrah, West Bengal 711106	Registered office + Manufacturing Unit-I	Core garment manufacturing/finishing	Company filings

Location	Status	What it houses	Source
Block B(III), Satyen Bose Road, near N.C. Pal Bridge, Hatgacha, Banipur, Howrah 711304, West Bengal	Manufacturing Unit-II	Additional garment manufacturing capacity	Company filings
Additional rented space (exact address not disclosed in sources reviewed)	Leased, added H1 FY26	Overflow manufacturing capacity, taken on after existing in-house space became "fully occupied"	H1 FY26 concall

Both disclosed manufacturing units are in the Howrah district of West Bengal — consistent with management's own framing of Kolkata/Howrah as the center of India's kidswear manufacturing trade ("Kolkata market is the best for kids wear. If someone wants to buy kids wear, he has to come to Kolkata."). No overseas manufacturing site or additional Indian facility beyond these three was disclosed. Karnika's own model relies partly on third-party job workers rather than 100% in-house capacity, so total production capability extends somewhat beyond these owned/leased addresses — see Value Chain Positioning above.

Capacity Utilization & Headroom

Management gave two utilization figures within the same H1 FY26 concall: "Currently, we are utilizing around 80%-85%" (CFO, earlier in the call) and, later, "Utilization is at 90% now" (MD, in response to a direct follow-up) — both are reproduced here rather than reconciled into one, since the second may reflect a more current/specific answer to the same underlying question. The figures below use the higher, more specific 90% reading against Karnika-standalone FY26 revenue (~INR223.5cr, i.e. INR248cr consolidated less Kidcity's ~INR24.5cr).

	Revenue	Basis
Current (90% utilization)	~INR223.5cr	FY26 standalone
Before capex — max revenue at 100% utilization of <i>current</i> capacity	~INR248.3cr	Headroom of ~INR24.8cr (~11.1%) above current revenue
After capex — management's own >INR300cr standalone target	INR300cr+	Next 2-3 years, per management: "If I want to reach Rs. 300 crores, I need more space. So, I will go to the market."
Revenue this capex is expected to unlock, beyond the current-capacity ceiling	~INR51.7cr+	Difference between the after-capex target and the before-capex ceiling

Flag: utilization is already at/above the 85% threshold — management itself confirms this is a binding constraint, not a computed artifact: existing in-house space is "fully occupied," a rented additional space has already been taken, and management states plainly it will "go to the market" for more space to hit its >INR300cr standalone target over the next 2-3 years. Near-term growth beyond ~INR248cr (standalone) depends on the capacity additions in the timeline above, not further utilization gains from what already exists.

Total Addressable Market (TAM)

No Karnika-specific TAM figure (a segment-level number the company itself targets a capture % of) was disclosed in the sources reviewed. The only market-size figures on record are the industry-wide estimates already shown in Industry Tailwinds below (India kidswear market ~USD11.1 billion in 2025, projected ~USD17.4 billion by 2034) — these are third-party industry estimates cited on the concall, not a company-defined TAM with a stated capture target, so they are not repeated as a standalone TAM section here beyond this cross-reference.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	INR425cr	FY28 combined Karnika + Kidcity target, concall guidance

Input	Value	Source/Basis
PAT margin used	12.00%	Midpoint of management's guided 11-13% normalized consolidated margin range for the next 2-3 years, May 2026 concall
Shares outstanding	6.1998cr	Paid-up equity capital Rs. 62cr (Mar 2026) ÷ Rs. 10 face value
Forward EPS	Rs. 8.23	Revenue guidance × margin ÷ shares
Price	Rs. 120.0	screener.in, 10 Jul 2026
Forward PE	14.6x	Price ÷ Forward EPS

Forward PE of 14.6x is arithmetic on management's own FY28 revenue target and normalized-margin guidance, not a valuation call — it is not a "cheap/expensive" characterization. Shares outstanding (6.1998cr) already include the ~5x increase in share count between the June 2025 and June 2026 quarters (see Promoter/Governance section below).

Industry Tailwinds / Headwinds

Tailwinds

- **Organized-retail shift:** India's kidswear market continues to shift from unorganized to organized/branded retail, driven by rising disposable incomes, urbanization, and growing e-commerce and tier-2/3 penetration — a structural tailwind for scaled, quality-focused players. (Source: IMARC Group, India Kids Apparel Market report, 2026)
- **Large but slower-growing TAM:** The India kidswear market is estimated at ~USD11.1 billion in 2025, projected to reach ~USD17.4 billion by 2034 (~4.9-5% CAGR) — a large addressable market, but one growing far slower than Karnika's own 30-35% company-level target, implying the company must be taking share rather than simply riding industry growth. (Source: IMARC Group / industry estimates cited on the May 2026 concall)

Headwinds

- **Cotton/input-cost inflation:** Domestic cotton and yarn prices rose roughly 4-8% in early 2026 (Shankar-6 cotton up ~8.5% month-on-month), with the expiry of an 11% import duty waiver on cotton at end-December 2025 pushing domestic prices higher — an industry-wide cost pressure that corroborates Karnika management's own Q4 FY26 margin commentary. (Source: Apparel Resources / Fibre2Fashion cotton-yarn price reporting, 2026)
- **Export/geopolitical exposure:** Management flagged Gulf-region tensions as a watch item for the ~5% of sales that come from exports, though it does not currently see this as a material near-term margin risk.

Technical Snapshot

As of 10 Jul 2026, CMP is Rs. 120 (screener.in). A prior technical read (dated on or before late June 2026 — i.e., **before** the 6 Jul 2026 post-Q1-FY27-results single-day decline of ~18%) showed: price below the 50-day moving average and ~37% above the 200-day moving average, RSI in a neutral/no-clear-signal zone on weekly and monthly charts, daily moving averages mildly bearish, support near Rs. 130 and resistance near Rs. 136. **Flag: these support/resistance levels almost certainly predate the 6 Jul selloff and are stale relative to the current ~Rs. 120 price** — a fresh technical read against the post-selloff price is needed before relying on any specific level here. (Source: MarketsMojo technical note; levels flagged as likely stale)

Promoter / Governance Track Record

Guidance reliability (last 2 tracked quarters/FY26 metrics):

Period	Metric	Guided	Actual	Delta	Verdict
FY26	Combined (Karnika + Kidcity) revenue	INR245cr (H1 FY26 concall, Nov 2025)	INR248cr	+1.2%	BEAT

Period	Metric	Guided	Actual	Delta	Verdict
FY26	Kidcity standalone revenue	INR30cr (H1 FY26 concall, Nov 2025)	~INR24.5cr	-18.3%	MISS

1 of the last 2 tracked guidance calls missed by more than 10% — no strong pattern of over-promising based on tracked history so far (only one data point behind it; needs more quarters to establish a pattern either way).

Promoter shareholding stood at 73.39% as of Mar 2026 and has been stable across recent quarters (screener.in); no pledge is disclosed, and no auditor qualification or delayed filing was flagged in the sources reviewed.

Promoter Fund Raises:

Date	Instrument	Amount	Allottee	Issue price vs CMP	Status
18 Jun 2026	Convertible warrants (preferential)	INR48.0cr (39,66,860 warrants)	Promoter/promoter group (13 entities) + 1 non-promoter (Bhagwan Nath Sidh)	Rs. 121 vs Rs. 120 CMP (+0.8%)	PENDING conversion

The warrants were approved at an EGM on 11 May 2026, received NSE in-principle approval on 5 June 2026, and were allotted by the Board on 18 June 2026 against 25% upfront payment — standard SEBI ICDR structure, with up to 18 months (i.e., by roughly December 2027) to pay the balance 75% and convert. No lapse has occurred yet; this is a fact to track on the next refresh, not yet a red flag. The issue price of Rs. 121 is roughly in line with, not at a steep discount to, the market price at allotment.

Disclosed purpose differs slightly by source: the BSE/NSE filing states the proceeds are for "working capital requirements, including repayment to creditors and bank loans, and general corporate purposes," while management on the May 2026 concall separately described the raise as funding Kidcity's expansion needs ("We have already raised for Karnika from warrant funds, promoters' funds itself in the current financial year."). Both stated purposes are reproduced here rather than resolved into one, since neither contradicts the other outright (working-capital relief frees up internal cash that can, in turn, fund Kidcity).

Separately, paid-up equity capital rose roughly 5x between the June 2025 and June 2026 quarters (from Rs. 1,239.95 lakh to Rs. 6,199.75 lakh), reported elsewhere as consistent with a bonus issue. This is a pro-rata corporate action affecting all shareholders (not a promoter-specific raise), but it materially affects per-share metrics — see Key Risks below.

Credit Rating Snapshot: No credit rating rationale was found for Karnika Industries Ltd from CRISIL, ICRA, CARE, India Ratings, Acuite, or Brickwork Ratings — checked directly on screener.in's Documents/Announcements tab (no mention of any rating agency in the filings listed) and via targeted web search for each agency by name. One BSE filing surfaced by search initially appeared to be a CARE rating action referencing Karnika's BSE scrip code, but on downloading and reading the primary document it was confirmed to belong to an unrelated company (CLN Energy Limited, BSE scrip 544347) that had been misattributed by the search snippet — Karnika's actual BSE code is 91665. Not currently on record; this section will be re-checked on the next refresh rather than assumed permanently absent.

Legal & Litigation:

Case	Forum	Type	Amount	Status
Pending litigation disclosed in IPO prospectus	Not disclosed in sources reviewed	Other/unspecified	Not disclosed	Ongoing (unquantified)

Karnika's September 2023 SME IPO prospectus (DRHP) includes a chapter titled "Outstanding Litigations and Material Developments," which confirms the Company and one Group Company have ongoing legal proceedings and that unfavorable outcomes could affect the business or financials. Attempts to retrieve the primary prospectus document for case-level detail (parties, forum, amount, nature of dispute) were unsuccessful in this session — this is a **confirmed but unquantified** disclosure, not a verified specific case. It should be treated as an open item to follow up on via the DRHP itself or the litigation note in Karnika's most recent annual report, rather than assumed immaterial.

Key Risks

- **Share-count / thin-float effect on market reaction:** Q1 FY27 standalone profit more than doubled year-on-year, yet basic EPS fell to Rs. 1.19 from Rs. 2.48 due to the ~5x increase in paid-up equity capital, and the stock fell ~18% in a single day following the results — a reminder that headline profit growth alone did not satisfy the market once share-count effects and a thin free float were factored in. (Financial/market risk)
- **Pending promoter warrant conversion:** INR48cr of promoter/promoter-group warrants remain pending conversion within an 18-month window (by ~December 2027). Conversion would add ~39.67 lakh shares to an already-enlarged base; a lapse would mean promoters forfeit the 25% already paid — worth tracking on every refresh. (Governance risk)
- **Kidcity integration execution risk:** FY26 Kidcity revenue delivery (~INR24-25cr) missed the original guidance of INR30cr by roughly 18%, even as the combined Karnika + Kidcity number beat guidance. Management's FY27 (3x) and FY28 (INR200-250cr) targets for Kidcity require materially better execution than FY26 delivered. (Business/execution risk)
- **Input-cost exposure:** Cotton and yarn prices are rising industry-wide, a direct input cost to Karnika's own manufacturing margins, per both management commentary and independent industry reporting. (Financial/macro risk)
- **Customer concentration via intermediaries:** Roughly 60-65% of revenue flows through the top 10 commission-agent relationships in Kolkata; while management describes end-consumers as broad-based repeat clients, billing concentration in a small number of intermediary agents is a structural dependency worth flagging. (Business risk)
- **Capacity constraint on near-term growth:** Manufacturing utilization is already at ~90% per management's own most recent statement, with existing in-house space "fully occupied" and a rented overflow space already taken up; current capacity alone supports only ~INR248cr (standalone), leaving ~11% headroom before management's own >INR300cr target requires new space it has said it will need to "go to the market" for. (Business/execution risk)
- **Unquantified pending litigation:** The IPO prospectus discloses ongoing legal proceedings involving the Company and a Group Company, without public detail on nature, forum, or amount available in the sources reviewed — a known gap worth closing via the DRHP or a recent annual report before treating this as immaterial. (Governance risk)

Source: Karnika Industries H1 FY26 (Nov 2025) and H2/Q4 FY26 (May 2026) earnings conference call transcripts, cross-checked against screener.in financials/shareholding/documents, BSE/NSE preferential-allotment disclosures, company facility filings, press coverage of the Q1 FY27 results reaction, industry reporting on cotton/kidswear-market trends, and Hopscotch's own public growth disclosures, as cited inline. Updated 11 Jul 2026: added a Company Summary and Value Chain Positioning; added status pointers to every outlook bullet, including a full guidance-evolution chain (Nov 2025 to May 2026) for the Kidcity FY28 revenue target; added Segment-wise Performance, Manufacturing Locations & Physical Assets, and a Total Addressable Market cross-reference; added an independently-verified customer-guidance check (Hopscotch); added a before/after-capex view in Capacity Utilization; a table-led Valuation section; and a Legal & Litigation entry noting the prospectus-disclosed but unquantified pending proceedings. This is a research summary of publicly available management commentary and filings only — not investment advice, a recommendation, or a solicitation to buy, sell, or hold any security. Forward PE shown above is arithmetic on a management estimate, not a valuation call. Conduct independent due diligence and consult a SEBI registered investment advisor before making any financial decision.